

Consumer transaction revenue bridge

Decision memo | Q3 to Q4 2024 | Evidence cutoff: September 20, 2026

Decision

Use the Q3-to-Q4 2024 bridge as a decision-support diagnostic, and do not present a forecast or model-performance claim. The nine-quarter public panel cannot satisfy the predeclared gate of eight training quarters plus four chronological holdouts under one comparable definition family.

\$863.8M	\$852.9M	\$10.9M	\$0.0M
revenue change	volume effect	effective-yield effect	rounding residual

What changed

Consumer transaction revenue increased from \$483.3 million to \$1,347.1 million as consumer trading volume increased from \$34 billion to \$94 billion. Calculated effective yield moved from 1.421% to 1.433%. The fixed-order bridge assigns \$852.9 million to volume and \$10.9 million to effective yield. A symmetric Shapley split assigns \$856.4 million and \$7.4 million, respectively.

Interpretation boundary

This is an algebraic decomposition, not causal attribution. Consumer revenue includes items not directly associated with reported matched-spot volume, while reported volume excludes derivatives. Revenue divided by volume is therefore an effective-yield proxy - not a fee rate, price, or causal driver.

Immediate implication

The large descriptive volume component says where diligence should concentrate: determine whether the Q4 activity surge is durable and whether customer, asset, geography, and pricing mix altered monetization. It does not prove that volume caused the revenue increase or that the relationship will persist.

RECOMMENDATION

Keep the artifact descriptive. Expand and reconcile the vintage-safe panel before any forecasting claim.

Decision support, with the limits visible

The analysis is reproducible from SEC-hosted Coinbase filings and deliberately stops short of inference.

Definition-vintage issue

Coinbase reclassified Base sequencer and payment-related revenue from Consumer, net to Other transaction revenue in Q1 2024 and recast prior periods. Later filings changed Trading Volume again. The Q2 2026 deck reports Q2-Q4 2025 consumer spot volumes that are \$1.5B, \$1.6B, and \$2.3B below earlier disclosures. The crosswalk is documented, but those quarters remain outside the pre-change panel.

Strongest objection

The bridge can look more explanatory than it is. Because effective yield is calculated as revenue divided by volume, the two-factor identity will reconcile mechanically. It does not independently validate economic drivers, isolate mix, or establish a stable forecasting relationship.

Recommended next investigation

Use the workbook's editable sensitivities to test volume and effective-yield assumptions around the Q4 2024 reference case. Treat the downside, reference, and upside cases as planning prompts, not probabilities. A forecast still requires at least twelve definition-compatible observations and four chronological holdouts.

Decision gates

Comparable history	12+ quarters in one definition family	Not met: 9 quarters
Vintage integrity	No silent use of later recasts	Explicitly separated
Forecast evidence	4 chronological holdouts; baselines scored	Not attempted
Definition boundary	Later volume vintages crosswalked	Reconciled; still quarantined

Primary sources

Q3 2024 shareholder letter filed Oct. 30, 2024	Q3 consumer revenue (\$483.3M) and consumer volume (\$34B)	SEC exhibit
Q4 2024 shareholder letter filed Feb. 13, 2025	Q4 consumer revenue (\$1,347.1M) and consumer volume (\$94B)	SEC exhibit
Q1 2024 shareholder letter filed May 2, 2024	Revenue reclassification and recast Q3/Q4 2023 values	SEC exhibit
2025 Form 10-K filed Feb. 2026	Later Trading Volume definition change; Q4 2025 quarantine	SEC filing
Q2 2026 earnings deck filed July 2026	Later stablecoin adjustment to Q2-Q4 2025 consumer spot volume	SEC exhibit

Reviewer question

Would you accept this bridge as a useful descriptive diagnostic while rejecting it as forecast evidence - and what additional evidence would change that judgment?